POLITY 39 | COOPERATIVE SOCIETIES

MEMBER CONTROL • FEDERAL COMPETENCE • ACCOUNTABLE GOVERNANCE

97th Amendment → Rajendra N. Shah → Part IXB → State/MSCS split → 2023 reform → banking coordination

01 IDENTITY + PRINCIPLES

A cooperative is a member-owned enterprise, not a State office or capital-dominant company.

VOLUNTARY | JOINT OWNERSHIP | DEMOCRATIC CONTROL | MEMBER BENEFIT

1. 7 principles: open membership • democratic voice • economic participation • autonomy
2. education/information • inter-cooperation • community concern
3. ICA norm ≠ automatic enforceable law; Act/rules/bye-laws control.

02 STATUTORY ORIGIN + FEDERAL MAP

The 97th Amendment constitutionalised an existing statutory form; it did not create cooperatives.

1904 | 1912 | ENTRY 32 | ENTRY 44 | ENTRY 45

1904 credit law → 1912 general law → provincial field → State legislation

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Entry 32: State-field incorporation/regulation/winding up

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Entry 44: objects not confined to one State | Entry 45: banking overlay.

03 97TH AMENDMENT — THREE EFFECTS

Separate the right, Directive Principle and governance Part before applying the 2021 judgment.

19(1)(c) | 43B | PART IXB | 15 FEB 2012

1. FR: qualified citizens' freedom to form cooperatives
2. DPSP: voluntary + autonomous + democratic + professionally managed
3. Part IXB: Articles 243ZH–243ZT; not the first incorporation statute.

04 RAJENDRA N. SHAH (2021)

Ratification failure invalidated State-field Part IXB, not the entire Amendment.

ENTRY 32 | 368(2) | NO RATIFICATION | SEVERABILITY

Part IXB constrained State legislative choice → half-State ratification required

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Ratification absent → State-field operation invalid

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Article 243ZR + Entry 44 → Part IXB survives for MSCS; 19(1)(c) and 43B survive.

05 243ZH–243ZJ — IDENTITY + BOARD

Definitions and board rules must be read with every qualification.

8 DEFINITIONS | ≤21 | 5 YEARS | 1 SC/ST + 2 WOMEN | 2 EXPERTS

243ZH: authorised person • board • cooperative • MSCS • office bearer • Registrar • State Act • State-level society

243ZI: voluntary formation + democratic control + economic participation + autonomy

243ZJ: casual vacancy same-class rule; experts cannot hold office; functional directors excluded from ceiling

06 243ZK–243ZL — ELECTION + SUPERSESSION

Democratic continuity is the rule; supersession is exceptional and bounded.

PRE-EXPIRY ELECTION | 5 GROUNDS | 6 MONTHS | NO GOVT LINK

243ZK: election before expiry → new board assumes immediately

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243ZL: default • negligence • prejudicial act • stalemate • election failure

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Banking law also applies; one-year text is only non-MSCS banking society and not a direct State-field command after 2021.

07 243ZM–243ZQ — ACCOUNTABILITY CYCLE

Audit, AGM, member information, returns and offences create a linked accountability clock.

AUDIT ≤6M | AGM ≤6M | RETURNS ≤6M | MEMBER INFO | OFFENCES

243ZM: annual audit; qualified auditor; general-body choice from approved panel

243ZO: transaction information + participation + education/training

243ZQ: false information • disobeying process • deduction default • records non-handover • electoral corruption.

08 243ZR–243ZT + TWO REGIMES

Classify the society before choosing the Constitution, statute, Registrar, election and audit rules.

243ZR MSCS | 243ZS UT TEXT | 243ZT TRANSITION | STATE ≠ MSCS

1. State society: Entry 32 → State Act + State Registrar + State election/audit system
2. MSCS: Entry 44 → MSCS Act 2002 + Central Registrar + surviving Part IXB
3. UT caution: do not claim blanket Part IXB coverage of every UT-confined society

09 MSCS AMENDMENT 2023

The amendment adds specialised accountability institutions inside the valid multi-State field.

ELECTION AUTHORITY | OMBUDSMAN | INFO OFFICER | AUDIT | FUND

Election Authority: Chair + Vice-Chair + not more than 3 Members

Ombudsman: specified member grievances | Information Officer: member requests

Conflict/nepotism controls • delegated concurrent audit • rehabilitation/reconstruction/development fund.

10 COOPERATIVE BANKING

Multiple regulation follows two identities: cooperative person plus banking institution.

REGISTRAR | RBI | NABARD | PACS FIREWALL

Registrar: incorporation/membership/bye-laws/elections as statute assigns

RBI: licence + prudential regulation + depositor protection

NABARD: SICB/DCCB supervision | PACS: State-law credit society, not automatically licensed or DICGC-insured.

11 DEMOCRACY → CAPTURE → REFORM

Democratic form succeeds only when active members, professional management and audit reinforce one another.

ELITE CAPTURE | POLITICAL INTERFERENCE | WEAK CAPITAL | AUDIT FAILURE

Failure: passive members → entrenched board → delayed election → weak audit → loss/member/depositor harm

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Reform: clean rolls → timely elections → conflict disclosure → professional management

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usable audit + member information/remedy + function-wise regulator coordination.

12 POLICY + PYQ + ANSWER SPINE

Cooperation must remain cooperative in enterprise design and federal method.

MINISTRY 6 JUL 2021 | NCP 24 JUL 2025 | PYQ B-B-B | QUALIFIED VERDICT

1. Ministry/National Policy are executive-policy layers, not Entry 32 transfers
2. Verified adjacent keys: 2020 DCCB B • 2021 UCB B • 2023 Small Farmer Large Field B
3. Answer: identity → entries → 97th → Rajendra → Part IXB → State/MSCS → 2023 → banking → reform.

EXAM VERDICT

Member ownership needs active democracy, professional capacity and proportionate accountability; national reform must use valid Union fields, State law, consent and coordination.